Monetary Policy Statement



BANGLADESH BANK

July-December 2008

17 July 2008

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Executive Summary

1. Introduction: This monetary policy stance of the Bangladesh Bank (BB), covering the first half (H1) of FY09 (July-December 2008), aims at using the monetary policy for ensuring reasonable price stability essential to sustaining high economic growth, shielding the economy from global price and financial turbulences and downside risks, and tapping new upside opportunities. The policy stance targets a real GDP growth rate of 6.5 percent and an average inflation rate of around 9.0 percent in FY09. The policy announcement is intended to anchor inflation expectations on realistic near term assessment of growth and price developments.

2. Monetary Policy Stance FY08: A Brief Assessment: The performance of the economy in FY08 shows that the policy stance in the last fiscal was in line with the requirements of the economy. The growth supportive and prudent monetary policy played an important catalytic role in bringing the economy back to its growth momentum. Although there was a visible uptrend in inflation in the initial months, the inflation rate slowed down since the last quarter. This shows improvement in the inflation outlook with domestic food inflation showing some respite. All economic sectors, especially agriculture and manufacturing outputs, strongly rebounded after the subdued performance in the first half of FY08. The disbursement of agricultural and industrial credit expanded, exports growth and remittance inflows increased, and production levels in all major sectors showed upturn.

3. Recent Global Developments: The global growth rate is projected to slow down to 3.7 percent in 2008 compared with 4.9 percent in 2007. The forecast for 2009 is also low at 3.8 percent. This likely slowdown, led by the developed countries, would exert spillover effects to the developing countries through trade, financial market, and other linkages.

The global market experienced a surge in prices of most commodities during FY08, especially of those items on which Bangladesh is highly import dependent such as fuel oil, edible oil, rice, and wheat. The price of rice saw an unprecedented rise of 215 percent in April 2008 on point to point basis while wheat prices doubled by February 2008 from its level one year earlier. The global inflationary pressure is not likely to reduce significantly in the foreseeable future. The developing economies face the challenge of controlling inflation while being alert to downside risks from the slowdown in the advanced economies.

4. Domestic Developments: Macroeconomic Outcome and Outlook: The real GDP growth rate for FY08 is estimated at 6.2 percent, which is slightly lower than 6.4 percent achieved in FY07. The growth target of 6.5 percent for FY09 is feasible, especially due to brighter prospects of increasing agricultural and manufacturing outputs, but would require concerted efforts to supplement the existing growth supportive policies with additional policies to realize the potentials.

The 12-month average CPI inflation was 7.20 percent in FY07 and rose to a high of 10.00 percent in March 2008 and then declined to 9.87 percent in May 2008. The persistent rise in inflation during most of the period of FY08 was contributed by both internal shocks and external developments. Despite the increase, inflation in Bangladesh moved to a double digit level only temporarily in March 2008 compared with the persistently rising inflation at double digit level in major South Asian countries. The government raised administered price of compressed natural gas (CNG) in June 2008 and prices of fuel oil and urea fertilizer in July 2008. While the impacts are yet to be seen, these adjustments may somewhat push up the point to point inflation temporarily but, with expected positive supply response of the real sector to policy measures of the government and BB the impact of the rise may be avoided. If, however, there is persistent surge in global prices of fuel oil and other commodities or incidence of any destabilizing event, then appropriate measures will be taken quickly before any major impact on economic stability.

The country enjoyed improved external sector viability in FY08 with relatively stable exchange rate, positive current account balance, and higher foreign exchange reserves exceeding USD six billion at the end of the fiscal year. Export earnings marked a growth of 15.3 percent during July-May FY08. Despite a robust import growth and widening trade deficit, higher external aid flow and healthy growth in workers' remittances provided a cushion to the external sector balance. With pursuit of prudent policies to maintain the existing increasing trend in exports and remittances, the country's external sector is likely to remain stable in FY09.

Among the monetary aggregates, the growth of broad money (M2) was 17.5 percent in May 2008 down from 18.3 percent in May 2007. Private sector credit increased by 24.5 percent on year-on-year basis in May 2008 (22.3 percent during July-May FY08) compared with 15.6 percent over the same period in the previous year. Bank advance by economic purpose in end-March 2008 shows that a significant share of advances went to industry (27.2 percent), working capital (24.7 percent) and trade (18.7 percent). The growth of reserve money (RM) declined in May 2008 (17.3 percent year-on-year basis compared with 22.8 percent in May 2007). Despite this, loans and advances of DMBs from BB increased significantly by 63.8 percent reflecting BB's policy response to ensure adequate credit flow to productive sectors. BB refinance against agricultural credit and SME loans played a key role in stimulating and expanding domestic supply response. In addition, BB's refinance scheme for low cost housing was also put in place in FY08.

While the overall outcome of the monetary policy in FY08 is positive, in view of the relatively high growth of private sector credit in the last fiscal it would be important in the near term to guard against any possible diversion of credit into unproductive and speculative purposes rather than redressing supply shortages in the economy. Moreover, the monetary authorities need to monitor several recent developments such as stock market overvaluation, spike in real estate prices, sharp increase in import LCs for motor cars, and high growth (23.5 percent in FY08) in currency in circulation as pointers to strayed use of monetary expansion for which effective measures would be needed to avoid undue build up of demand pressure.

5. Monetary Policy Stance for H1 FY09: Bangladesh has started FY09 under mixed developments on both domestic and external fronts. The domestic economy, though has enough potential, operates below its capacity which needs to be realized to achieve short term stability and brighten long term growth prospects. In addition, easing of the inflationary pressure requires

higher growth and increased production of essential food and other items in the face of tight and unstable world market for these commodities. The unfolding events in the global economy are creating renewed pressures and the global outlook is changing fast in the backdrop of growing liquidity crunch and rising oil and other commodity prices. While monetary tightening can bring down inflation, it has unacceptably high cost in terms of foregone output and employment which Bangladesh can ill afford at present in view of its growth and poverty reduction imperatives. This, however, does not negate the importance of avoiding excessive monetary laxity which would harm macroeconomic stability and hence growth and poverty reduction efforts.

The monetary policy stance during H1 FY09 aims at ensuring reasonable price stability and providing support to sustainable and high output growth as adopted in the macro framework of the current fiscal year. For supporting growth promoting policies, the policy stance would give priority to unhindered flow of private sector credit to the economy's productive sectors, with agriculture, SMEs, and the rural economy being the prime targets. BB would also undertake effective measures to encourage increased flow of credit to women entrepreneurs. In order to avoid the build up of excessive demand pressure, special attention would be given to channeling credit to its intended productive and supply augmenting uses; alongside discouraging credit flows to non essential unproductive and speculative uses. To this end, measures such as imposition of higher capital charge in the form of higher general provision requirement on such loans may be considered.

The existing refinance support for agriculture, SMEs, and housing loans would be continued; and new refinancing lines would be considered for socially desirable and emerging activities such as shipbuilding, renewable energy, effluent treatment in manufacturing establishments, and similar other areas. The growth in private sector credit would be watched carefully and if the situation warrants, necessary policy adjustments would be introduced after careful consideration of the causative factors underlying private sector credit growth and its likely consequences.

In the foreign exchange market, desired exchange rate stability would be maintained to keep the pressure of imported inflation under control. Efforts would be made to enhance the inflow of remittances especially through tapping the increased demand for foreign workers in oil-rich countries resulting from high oil prices. Measures would be taken to divert increasing amount of remittances toward investment in productive sectors to ease the potential demand pressure and expand the economy's productive capacity. For facilitating more efficient import of essential goods, BB has made available forward hedging mechanism to importers. In this context, BB would ensure that the facility is used only for true hedging. BB would routinely conduct 'surprise inspections' on banks and exchange companies relating to their compliance of foreign exchange regulations as well as the anti money laundering act.

For ensuring banking sector soundness and liquidity, BB would closely monitor the liquidity situation in the banking system and adopt appropriate measures to overcome any temporary pressure on liquidity. The existing prudential oversight would be further strengthened to monitor bank liquidity. Along with further strengthening of the recently initiated diagnostic review of the financial health of the banks, BB intends to fully implement the Basel II framework of supervision and disclosure principles toward better risk management and capital planning. BB would continue its efforts to urge the banks to reduce their lending rates, increase competition among the financial intermediaries, and pursue strong monitoring and supervision measures so

that the financial institutions reduce administrative cost by improving efficiency and reducing the burden of non performing loans.

The success of the policy stance requires greater fiscal and monetary coordination. Maintaining fiscal discipline by the government and limiting the dependence on financing fiscal deficit from the banking system, especially from BB, generates less inflationary pressure. Along with increasing the revenue earnings, the government needs to increasingly tap alternate sources of financing such as developing an active secondary market for government securities. Bringing appropriate changes in the government's debt management strategy would be important to improve the balance between short (e.g. T bills) and long term borrowing (e.g. through issuing bonds) since any shift in the borrowing pattern has implications for the conduct of the monetary policy.

The implementation of the monetary policy stance faces several downside risks which might make monetary management challenging in FY09. It would thus be critical to monitor these challenges and implement timely policy response.

Although indications are there that domestic production, especially in the agriculture sector, is likely to recover strongly in FY09 due to favorable price incentives for the farmers, the possibility of floods and other natural disasters can not be fully ruled out. Similarly, other unexpected events including socio-political instability could substantially change the outlook affecting the smooth implementation of the policy stance. Thus it would be important to take precautions against any unexpected natural calamities along with ensuring timely supply of inputs to the farmers and take measures to minimize domestic vulnerabilities and risks.

The productivity growth of the economy is crucial which has been suffering from continuing power shortages, other infrastructure bottlenecks, and socio-political disruptions. It would be important to strengthen the infrastructure and other support services and ensure congenial business climate especially prior to the general election in December 2008. Failure to do so would widen the gap between rising aggregate demand and domestic production creating a new challenge for the monetary policy to restrain aggregate demand.

The near term global outlook is bleak which could create adverse impact on the country's exports. The subprime crisis in the US is still raveling, and a significant slowdown in the US and further turmoil in financial markets cannot be ruled out. Bangladesh needs to remain alert regarding its competitiveness of exports especially in price-sensitive RMGs. For meeting such challenges, the policies need to build solid macroeconomic fundamentals supported by prudent monetary, fiscal, and exchange rate policies.

The current high prices of oil and other commodities in the world market are likely to persist in the foreseeable future. In such a situation, absorbing the pass through of rising global prices to domestic consumers by the government would be unsustainable largely due to its limited fiscal space.

While the most effective means of fighting inflation in the present situation is by increasing domestic production, a close watch is necessary on demand side pressure along with periodic review of BB policy rates to introduce corrective measures speedily if necessary, for anchoring inflation expectations and before any major destabilizing effect on macroeconomic stability takes

place. Reducing the government's dependence on bank borrowing still remains an unsettled issue. Along with promoting government savings instruments especially targeted toward non resident Bangladeshis, adopting fiscal responsibility and debt limitation law by the government to restrict the extent of debt monetization would contribute toward enhancing the effectiveness of the monetary policy instruments. Along with setting the required debt market infrastructure for promoting a vibrant secondary bond market, adoption of international prudential norms for banks and financial institutions are necessary to bring consistency and accountability and ensure financial inclusion of all.

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1. Introduction

1. Following the practice of announcing the monetary policy in advance, the present monetary policy statement (MPS) provides the monetary policy stance that the Bangladesh Bank (BB) intends to pursue during the first half (H1) of FY09 covering the period July-December 2008. The policy stance has been set considering the positive developments as well as the weaknesses of the economy that emerged in FY08 and the urgent need to accelerate the pace of economic growth and ensure reasonable price stability in FY09 for taking forward the country's poverty reduction agenda. The thrust of the policy stance is to gear the monetary policy toward ensuring healthy macroeconomic fundamentals essential to sustaining high economic growth, shielding the economy from internal and external shocks (global prices and financial turbulences), and tapping new frontiers of development. The policy announcement is also intended to anchor inflation expectations on realistic near term assessment of growth and price developments.

2. The prime objective of the present monetary policy stance is to ensure prudent use of monetary instruments at the disposal of BB to achieve the targeted real sector growth in FY09 and ensure a reasonable rate of inflation. The BB will routinely use repo, reverse repo, and BB bill rates as policy instruments for influencing financial and real sector prices. As in the past, cash reserve requirement (CRR) and statutory liquidity ratio (SLR) for banks would remain as sparsely used instruments to influence the volume of credit, as and when needed. The daily call money rates and discount windows would be cautiously observed to monitor credit flows in the economy. The annual monetary program would use reserve money (RM) as the operating target and broad money (M2) as the intermediate target. This will be supported by a framework for regular tracking of other asset and liability side sub-aggregates.

2. Monetary Policy Stance FY 08: A Brief Assessment

3. The monetary policy stance followed in FY08 was announced in two statements: MPS for H1 FY08 was announced in July 2007 and the MPS for H2 FY08 in January 2008. The policy stance for H1 FY08 was designed around a projected real GDP growth of 7.0 percent and an annual average CPI inflation within a range of 6.5 percent to 7.0 percent. The developments during H1, however, led BB to revise GDP growth rate downward between 6.0 percent and 6.2 percent and average CPI inflation upward between 8.0 percent and 8.2 percent for the MPS for H2 FY08.

4. The policy stance of H1 FY08 was moderated due to several unexpected domestic shocks and unprecedented global price developments bringing significant changes in the country's macroeconomic scenario. Two consecutive floods and a devastating cyclone (Sidr) seriously interrupted overall economic activities, especially in the rural areas, which were further dampened by shaken business confidence. In addition to domestic production and supply disruptions, persistent rise in international prices of rice, wheat, edible oil, petroleum, and other essential commodities exerted significant pressure on domestic prices and led the inflation to move above its projected range. Despite a healthy growth in worker's remittances, current

account balance was strained due to widening trade deficit. Real sector growth slowed down along with the urgent need to undertake relief and rehabilitation activities for the disaster affected people and bring back production activities, especially in the agriculture sector, on track.

5. In view of these developments, the monetary policy stance of H2 FY08 aimed, in addition to containing inflation within tolerable limits, at supporting the government's growth stimulating and poverty reduction programs through using the monetary instruments at the disposal of BB. The imperatives identified for H2 FY08 covered two strategic thrusts: *first*, ensure reasonable price stability and support the building up of the economy's adjustment capacity to internal and external shocks; and *second*, put in place more effective monetary and financial measures to accommodate growth augmenting policies. In this context, the policy stance gave priority to ensuring the flow of adequate credit to productive sectors, especially agriculture, SMEs, infrastructure, and other rural activities, and to women entrepreneurs. The policy stance also put emphasis on pursuing policies that would not unduly depreciate Taka that could generate inflationary pressures from rising import prices of such essential items as food and oil. Such impact could be strong especially in the short run because of rising and inelastic demand of these commodities in the domestic market.

6. The pursuit of the prudent monetary policy stance in H2 FY08, coupled with other initiatives of the government including reduction of duty on imported food items, strengthening of the agricultural input distribution system, provision of subsidy on fertilizer and diesel, improvements in production environment including law and order situation, and widening of social safety nets and open market sales operation paid rich dividends in terms of recovery and economic performance. All economic sectors, especially agriculture and manufacturing outputs, strongly rebounded after the subdued performance in H1 FY08. The disbursement of agricultural and industrial credit expanded, exports growth and remittance inflows increased, and production levels in all major sectors showed upturn.

7. The monetary program, including the targets set for RM and M2 expansion, remained largely consistent with BB's projections for real GDP growth and inflation. The average inflation, after reaching a peak of 10.00 percent in March 2008, started to fall and was recorded at 9.87 percent in May 2008. The long term interest rates also showed declining trends indicating lower inflation expectations and prudent nature of BB's policy stance.

3. Recent Global Developments

8. The growth rate of the global economy is likely to slow down to 3.7 percent in 2008, more than one percentage point lower than 4.9 percent growth achieved in 2007. The forecast for global growth for 2009 is also low at 3.8 percent (*WEO*-IMF, April 2008). The low global growth is attributed mainly to growth slowdown in most developed countries including USA and leading euro area countries. The major drags on global economic performance are the slowdown in the US driven by the end of the housing bubble, the unfolding credit crunch besetting the US and Europe, and the appreciation of many currencies against USD. The slowdown, especially in the US economy, exerts spillover effects to other developed and emerging economies through trade, financial market, and other linkages. Accordingly, growth projections foresee a deceleration of real growth in the emerging and the developing economies to 6.7 percent in 2008 and further to 6.6 percent in 2009 from 7.9 percent in 2007.

9. Economic growth in the US, largest destination of Bangladesh's readymade garments (RMGs) export, is likely to be as low as 0.5 percent in 2008 and 0.6 percent in 2009 as against 2.2 percent in 2007. Similarly, growth in the euro area, the country's main trading partner, is projected at 1.4 percent in 2008 and 1.2 percent in 2009 which was 2.6 percent in 2007. Bangladesh, however, has successfully cushioned itself from the global slowdown and remained largely unaffected by the US subprime meltdown due to its limited exposure to the global financial system. Moreover, along with growth supportive macroeconomic policies, the country enjoyed strong domestic demand which enabled it to grow at a robust rate in FY08.

10. The global market experienced a spike in prices of most commodities during FY08, especially of those food items on which Bangladesh is highly import dependent such as wheat, rice, edible oil, and crude oil. The IMF international commodity price index (2005=100) which includes both fuel and non-fuel price indexes increased by nearly 57 percent in May 2008 on p-t-p basis, dominated by resurgence in oil and food prices. The food price index increased by 44.3 percent while the crude oil (petroleum) price index rose by 88.6 percent in May 2008 compared with increases of 27.1 percent and 46.6 percent respectively in December 2007. The price of rice saw an unprecedented rise of 215 percent in April 2008 on p-t-p basis while wheat prices more than doubled by February 2008 from its level of around USD 200 per metric ton one year earlier.

11. Along with the rising worldwide trend, the inflation rate of our major trade partners started to edge upward in 2008. In the US, headline inflation increased to 4.0 percent in March 2008 from 2.8 percent in March 2007. In the euro area, consumer prices inflation reached a level of 3.6 percent in March 2008, the highest level since the introduction of the euro, from 1.9 percent a year ago. In the emerging market and developing countries, inflation situation deteriorated in 2008 and, according to IMF estimates, consumer prices inflation would reach 7.4 percent in 2008 from 6.4 percent in 2007. Amongst our major Asian trade partners, CPI inflation in China accelerated to 8.3 percent in March 2008 compared with 3.3 percent in March 2007. The wholesale price inflation in India rose to 11 percent in June 2008 reaching a new 13-year high since 1995. In Pakistan, CPI inflation stood at 19.3 percent in May 2008 compared with 8.8 percent in December 2007. In Sri Lanka, the revised Colombo CPI inflation (p-t-p) stood at 28.2 percent in June 2008 against 18.8 percent in December 2007.

12. Global commodity prices are not projected to fall in 2008 (*WEO*-IMF, April 2008). The global oil market is likely to remain very tight and food prices may continue to rise in response to strong growth in demand in emerging economies and increased biofuel production. Although global inflation is projected to moderate in 2009, in view of the apprehension that world supply problems might not settle soon and oil prices would be rather high unless there is a significant softening in demand in the emerging as well as in the advanced economies, the global inflationary pressure may not reduce significantly in the foreseeable future.

13. Since the beginning of the turbulence in August 2007, central banks of advanced economies responded with measures to ease liquidity stress in financial markets. The major challenge facing the central banks, however, has been to keep a balance between alleviating the downside risks to growth and guarding against a buildup in inflation. The Federal Reserve Bank of the US lowered the federal funds rate by 300 basis points since August 2007; while Bank of Canada and Bank of England reduced their policy rates. The European Central Bank raised its policy rate by 25 basis points in July 2008; but Bank of Japan kept its policy rate unchanged at early 2007 level. The

Bank of England provided generalized and institution specific emergency liquidity facilities for swapping securities.

14. The emerging and developing economies face the challenge of controlling inflation while being alert to downside risks from the slowdown in the advanced economies. While countries like China, India, and Republic of Korea tightened their monetary stance in 2007, Malaysia kept its interest rates steady. In contrast, Indonesia, Philippines, and Thailand eased rates. The inflation rate is projected at 4.6 percent for the developing economies of Asia and the Pacific for 2008, with currency appreciation somewhat cushioning high oil and food prices. The monetary policy in major South Asian economies is likely to remain cautious as they continue to manage the threat of overheating.

15. Recently, some countries in South Asia have taken steps to manage and cool off inflation expectations and tame the underlying dynamics feeding inflation. The Reserve Bank of India increased CRR to 8.75 percent in July 2008 which was raised to 8.0 percent in two stages in April and May 2008. The repo rate was also shifted upward to 8.50 percent in July 2008 as compared with 8.00 percent in June 2008 and 7.75 percent in July 2007. The State Bank of Pakistan increased the policy discount rate by 150 basis points to 12.0 percent in May 2008. At the same time, the CRR for all deposits up to one year maturity was revised upward from 8.0 percent to 9.0 percent and SLR was increased from 18.0 percent to 19.0 percent.

4. Domestic Developments: Macroeconomic Outcome and Outlook

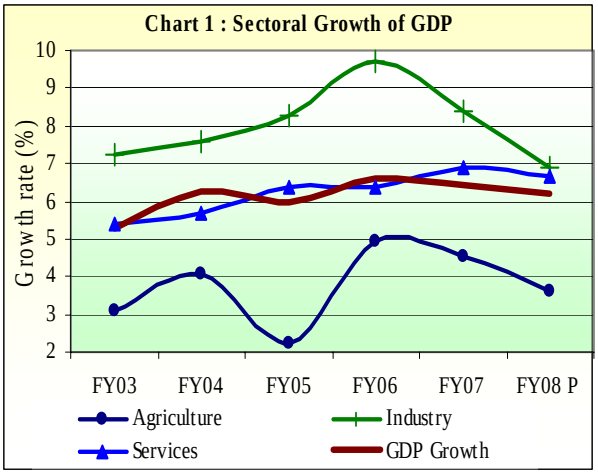
Economic Growth

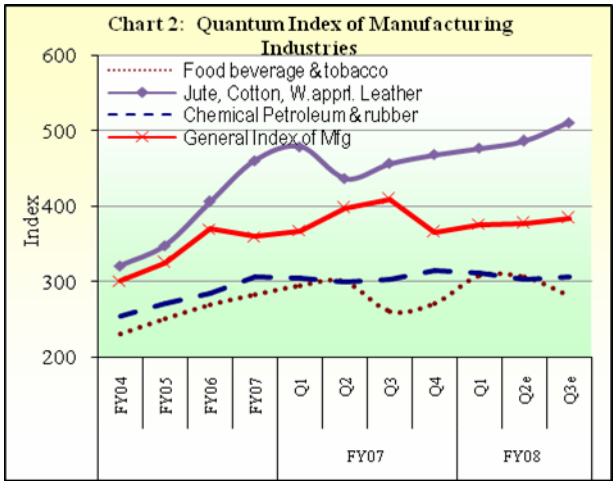
16. The real GDP growth rate for FY08 is estimated at 6.2 percent (as projected by BB), which is slightly lower than 6.4 percent achieved in FY07. In FY08, agriculture grew at 3.6 percent, while the growth rates of industry and services sectors were 6.9 percent and 6.7 percent respectively. Although natural disasters like consecutive floods and cyclone and adverse developments like shaken business confidence affected the performance of the real sector during H1 FY08, the economy rebounded in H2 along with a sharp recovery in RMG exports and record production of *boro* rice, potato, wheat, maize, and other crops.

17. The production in the agriculture sector bounced back due to measures taken by the government to ensure timely supply of adequate inputs, steps taken by BB for speedy disbursement of higher amount of agricultural credit, favorable incentives of the farmers to increase production resulting from higher prices of food grains, provision of cash subsidy to the farmers to compensate for higher diesel price, and other efforts to encourage the farmers to go for higher production. The industry sector, which was affected by sluggish investment and low performance of export-oriented manufacturing in H1 FY08 rebounded strongly in H2 with rebound in exports of RMGs, increased private sector credit, and increased imports of industrial raw materials. While a good part of the services sector activities such as trade and transportation remains structured around agriculture and industry sectors of the economy, the new and more dynamic fast-growing components including telecommunication (especially mobile phone), computer and internet, education, health care, and financial intermediation maintained healthy growth in FY08.

18. The growth target of 6.5 percent for FY09 is feasible and would require concerted efforts to supplement the existing growth supportive policies with additional policies to realize the potentials. In particular, credible measures would be required to maintain and if necessary to

increase investment in growth and employment generating sectors. The critical policy thrust in the near term would be to sustain the recent turn around of the economic activities and lead the economy to a higher growth trajectory for which monetary policy instruments would be required to be deployed in a manner that promotes investment and private sector led growth. In particular, in view of several recent developments in the food market (especially the limited impact of the bumper *boro* harvest on the price of rice), it would be important to put adequate emphasis within the near term policy agenda on agriculture particularly on ensuring a good *aman* harvest along with rapid expansion of SMEs and non-farm activities.

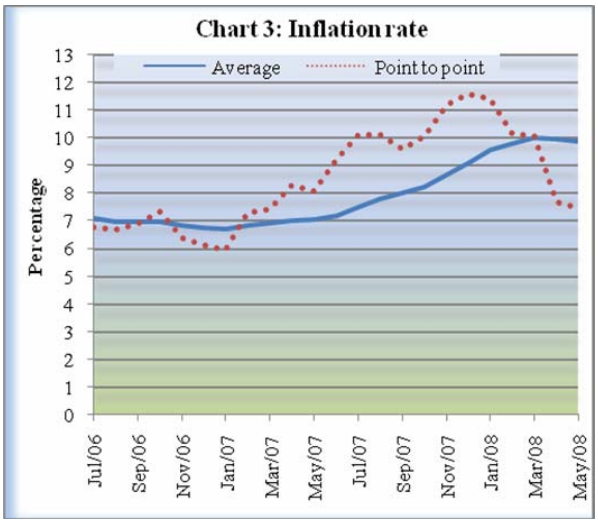


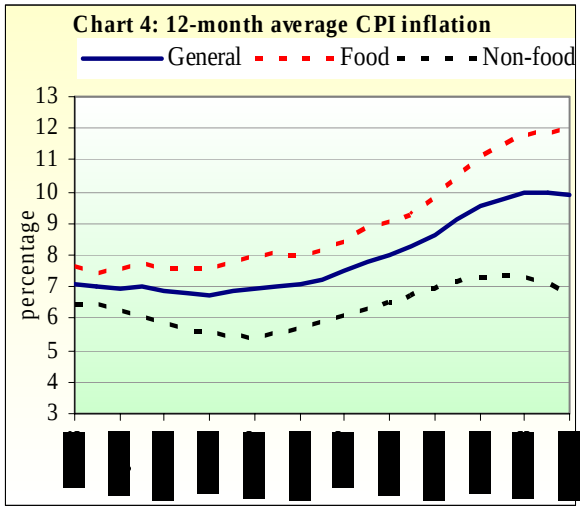


19. In addition, there appears to exist several downside risks that may hurt overall economic activities and real sector growth in FY09. While risks emanating from such unforeseen events as floods and other natural disasters are not amenable to easy predictions, several risk factors that can pose significant threat to the economy in FY09 can be identified, such as the highly volatile and erratically changing oil prices that currently characterize the global oil market, predictions of slowdown of global growth especially economic growth of Bangladesh's major trade partners, domestic socio-political uncertainty prior to scheduled national election in December 2008, and other domestic and external developments that could create unexpected impact on real sector growth of the economy. The monetary policy stance, therefore, does not take it for granted that the real sector has fully overcome the problem of growth slowdown experienced in FY08 and hence it would be an important priority of the policy stance to support the economy to move to a higher and more stable growth path.

Inflation Outlook

20. The 12-month average CPI inflation was 7.20 percent in FY07 and rose to a high of 10.00 percent in March 2008 and then declined to 9.94 percent in April 2008 and further to 9.87 percent in May 2008. The persistent rise in inflation during most of the period of FY08 was contributed by both internal shocks (disruptions in production and supply due to repeated floods, cyclone, and other events) and external developments (unprecedented rise in world commodity prices notably of food items and fuel oil). The rise in domestic inflation was fed by food inflation which went up to 11.93 percent in May 2008 from 8.11 percent in June 2007, while non-food inflation rose to 6.72 percent from 5.90 percent over the same period. However, inflationary pressure seems to be coming down as inflation on point-to-point basis declined to 7.44 percent in May 2008 from a peak of 11.59 percent in December 2007.





21. Contrary to the rising trend of inflation as a global phenomenon, inflation in Bangladesh has started to ease since Q4 FY08 due to the pursuit of prudent policies. Overall, the expectation is that CPI inflation would come down further in the coming months through the pursuit of more prudent policies under the present monetary policy stance. The inflation episode that Bangladesh experienced in FY08 emanated largely from higher prices of food items, in the backdrop of global increase in food prices. The situation raises issues relating to the nature and extent of import price pass-through to domestic price since it is likely that goods with higher domestic supply components face a lower pass-through elasticity of import prices. Therefore, it would be important for future policies to correctly align the exchange rate and trade related policies in the short run to domestic realities coupled with the long run policy of increasing domestic production as the most effective strategy to fight inflation. Despite the rising trend, inflation in Bangladesh moved to a double digit level only temporarily in March 2008 compared with the persistently rising inflation at double digit level in major South Asian countries. The government raised administered price of compressed natural gas (CNG) in June 2008 and prices of fuel oil and urea fertilizer in July 2008. While the impacts are yet to be seen, these adjustments may somewhat push up the point to point inflation temporarily but, with expected positive supply response of the real sector to policy measures of the government and BB the impact of the rise may be avoided. If, however, there is persistent surge in global prices of fuel oil and other commodities or incidence of any destabilizing event, then appropriate measures will be taken quickly before any major impact on economic stability.

22. Along with gearing up of economic activities, optimal combination of several measures would be important to restrain inflation, such as rationalization/reduction of duties, appropriate phasing and timing of import of food grains and essential food items, strengthening internal procurement of food grains, increasing the efficiency of food grain trading and marketing, installing effective market monitoring and surveillance system, efficient programming of targeted distribution and open market sale operations, and other measures to reduce any undue strain on market operations. While BB policy stance would be to lessen the pressure on inflation through increasing supply of outputs and keeping demand pressure within control, the target rate of average inflation has been taken at around 9.0 percent for FY09.

External Sector Developments

23. Although export growth remained subdued in the early months of FY08, export earnings showed credible performance afterwards marking a growth of 15.3 percent during July-May FY08. However, a robust growth in import over July-April by 24.9 percent resulted in a widening trade deficit of USD 4,656 million during July-April FY08. Despite the surge in trade deficit, higher external aid flow and healthy growth in workers' remittances (provisionally estimated at 32.8 percent in FY08) provided a cushion to the external balance, resulting in a surplus of USD 185 million in current account balance during July-April 2008. Overall, the balance of payments showed a surplus of US$ 140 million during July-April 2008 and may slightly moderate by the end of FY08 given prevailing high international prices and downturn in the global economy.

24. The foreign exchange market remained mostly stable in FY08 although the high inflow of remittance coupled with rising exports enabled Taka to appreciate slightly against USD. The BB, as a part of its pro-active monetary policy, remained active in the foreign exchange market and made necessary interventions through a net sale of USD 533 million up to June 2008 in the interbank market to help dampen inflationary pressure partly by cutting import costs of food items. The policy stance also enabled BB to maintain a comfortable foreign exchange reserve throughout FY08.

Table 1: Exchange Rate Movement*

	FY 06	FY 07	May 2008
Nominal ER (period avg. Tk./USD)	67.08	69.04	68.57
Nominal ER (end period Tk./USD)	69.67	68.80	68.55
NEER	64.02	67.69	64.11
REER	86.90	86.62	82.77
REER based ER	60.60	59.60	56.74

*based on eight currency basket
NEER = Nominal effective exchange rate.
REER = Real effective exchange rate.

25. Both nominal effective exchange rate (NEER) and real effective exchange rate (REER) depreciated while nominal exchange rate slightly appreciated in May 2008 over June 2007. Despite the appreciation, the rate remained higher than the REER based exchange rate; consequently Bangladesh enjoyed some gain in export competitiveness. BB would remain alert to take timely steps to ensure a stable foreign exchange market that would provide support to Taka in maintaining external competitiveness.

Fiscal Sector Developments

26. The overall fiscal deficit (excluding grants and BPC) for FY08 increased to Tk. 255.5 billion or nearly 4.8 percent of GDP compared with the original estimate of Tk.223.1 billion or 4.2 percent of GDP. The deficit was financed by Tk.130.2 billion from foreign sources and Tk. 199.2 billion from domestic sources, of which nearly Tk. 104.0 billion came through bank borrowing. Despite the scaling down of ADP by Tk.40.0 billion, the pressure on fiscal balance increased because of large increase in flood and cyclone relief and rehabilitation expenditures and rise in subsidies following the increase in fuel, fertilizer, and food grain prices in the international market.

27. The FY09 budget projects an overall deficit excluding grants of Tk.305.8 billion or nearly 5.0 percent of GDP, to be funded by Tk.63.5 billion in foreign grants, Tk.72.4 billion in foreign loans, and nearly Tk.170.0 billion in domestic borrowing including bank borrowing of Tk.135.0 billion. The projected expenditure will increase mainly due to widening and deepening of social safety net programs, substantial increase in subsidies on account of fuel, food, and fertilizer, and interest payments on past debt, and implementing income generating activities for the poor and disadvantaged households.

28. The new arrangement for government bank borrowing introduced in FY07 segregated BB's role in government debt management from its monetary management although there is no in-built mechanism to limit bank borrowing by the government. During FY08, provisional figures show that government bank borrowing (excluding BPC) was Tk. 46.9 billion which was much lower than the budgetary provision of Tk.104.3 billion. Increased revenue receipt and foreign fund were used more to meet the enhanced government expenditure. Following the introduction in FY07 of widened ways and means advance limit and auction of treasury bills and bonds according to volumes pre-announced in the borrowing calendar, BB holds treasury bills and bonds at cut off rate if market supply of fund falls short of the announced auction value. The extra amount is devolved to the primary dealers on the basis of underwriting to encourage them to create a secondary market for government securities and help improve the quality of monetary management.

Recent Monetary Developments

29. The monetary policy during FY08 aimed at gearing up economic activities along with maintaining reasonable price stability. The average inflation rate went up to 10.00 percent in March 2008; but has been declining since then and stood at 9.87 percent in May 2008. Among the monetary aggregates, the growth of M2 was recorded at 17.5 percent in May 2008 down from 18.3 percent in May 2007 but higher than FY08 target of 16.0 percent. This moderation was mainly caused by a decelerating growth in NFA. The sale of USD by BB in the interbank market to ease the pressure on foreign exchange in the face of increased import led to reduced growth of NFA. The rise in NDA, on the other hand, was driven by an increase in the growth of public sector credit. Private sector credit increased by 24.5 percent on year-on-year basis in May 2008 (22.3 percent during July-May FY08) compared with 15.6 percent over the same period in the previous year reflecting increased economic activities in the real sector.

30. In order to gear up economic activities while maintaining inflation at tolerable limit, the monetary policy gave added priority to unhindered flow of credit to productive sectors, especially in the rural areas, along with measures to keep the demand side pressure under control. The policy also focused on pursuing an exchange rate stabilization policy through sale of USD to the authorized dealers to prevent any undue volatility in the exchange rate. The policy resulted in a significant increase by 17.5 percent in bank advances to the private sector in March 2008 over the level one year ago with remarkable increase in credit flows to agriculture, industry, and working capital financing with consequent positive impact on economic activities. Bank advances by economic purpose in end- March 2008 shows that a significant share of advances went to industry (27.2 percent), working capital (24.7 percent) and trade (18.7 percent) on year-on-year basis.

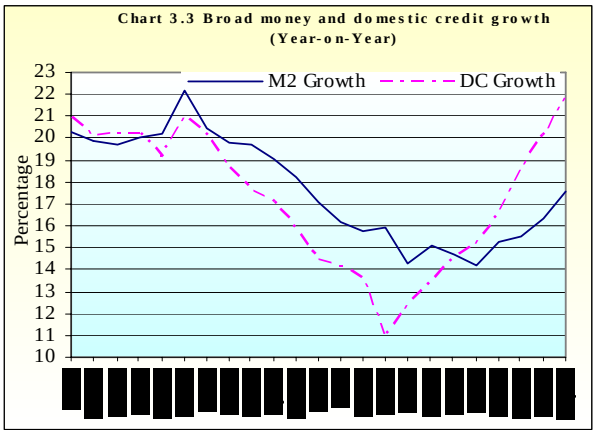


Table 2: Monetary Aggregates

	FY05	FY06	FY07	May FY08
Growth (in percent)				
1. Net foreign asset	14.33	17.89	49.43	19.33
2. Net domestic asset	17.17	19.73	12.54	17.19
Domestic credit	17.53	20.45	14.93	21.04
Credit to pub. sec. (incl. govt.)	19.09	27.02	14.39	10.94
Credit to pvt. sec.	17.02	18.27	5.12	24.53
3. Reserve money	12.50	28.10	17.67	17.31
4. Narrow money	16.56	21.33	17.43	18.93
5. Broad money	16.81	19.51	7.02	17.49

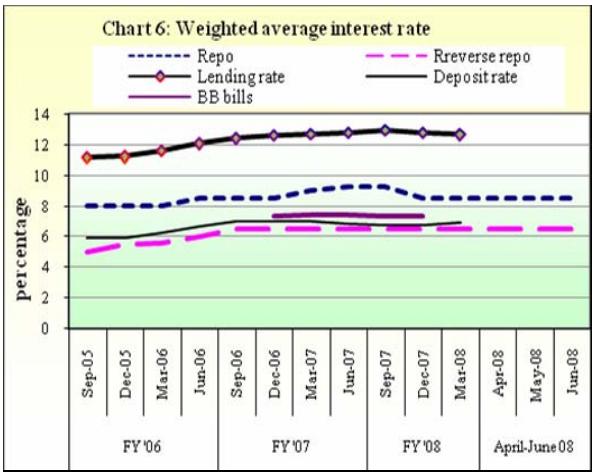
31. The growth of RM declined in May 2008 (17.3 percent year-on-year basis compared with 22.8 percent in May 2007). Despite this, loans and advances of DMBs from BB increased significantly by 63.8 percent compared with (-) 1.7 percent growth in May 2007. This happened due to BB's response to natural disasters through ensuring the flow of adequate credit to productive sector including agriculture and SMEs and to women entrepreneurs. BB refinance against agricultural credit and SME loans played a key role in stimulating and expanding domestic supply response. In addition, BB's refinance scheme for low cost housing was also put in place in FY08.

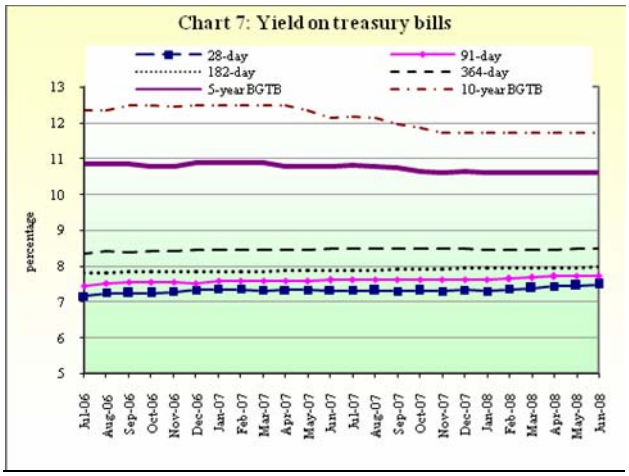
32. While the overall outcome of the monetary policy in FY08 is positive, it would be important in the near term to guard against undesirable diversion of credit into unproductive and speculative purposes rather than redressing supply shortages in the economy in view of the relatively high growth of private sector credit experienced in the last fiscal. The monetary policy stance for H1 FY09 needs to carefully monitor several recent developments such as stock market overvaluation, surge in real estate prices, sharp increase in import LCs for motor cars, and high growth (23.5 percent in FY08) in currency in circulation as pointers to unproductive and speculative use of monetary expansion for which effective measures are needed to avoid build up of demand pressure.

Table: 3 Interest Rate Development (weighted average)

Period	Treasury Bills				B. Bank Bills		BGTB		Repo	Rev. Repo	Call Rate	Lending Rate	Deposit Rate
	28-Day	91-Day	182-Day	364-Day	30-Day	91-Day	5-Year	10-Year	1-2 Day	1-2 Day			
2006/07													
September	7.24	7.55	7.83	8.38	...	...	10.86	12.49	...	6.49	7.36	12.40	6.99
December	7.33	7.52	7.84	8.45	7.37	...	10.89	12.49	...	6.50	7.16	12.60	6.99
March	7.32	7.58	7.86	8.45	7.38	7.58	...	12.50	9.00	6.50	6.99	12.70	6.97
June	7.32	7.60	7.89	8.48	7.39	7.60	...	12.14	9.25	6.50	7.67	12.77	6.85
2007/08													
September	7.29	7.62	7.90	8.48	7.36	7.62	10.74	11.95	...	6.50	6.96	12.92	6.76
December	7.33	7.63	7.93	8.47	7.36	...	10.65	11.73	8.50	6.50	9.37	12.77	6.73
March	7.38	7.67	7.96	8.46	...	...	10.60	11.72	8.50	6.50	12.81	12.65	6.91
June	7.48	7.73	7.97	8.47	...	...	10.60	11.72	8.50	6.50	9.90	...	...

33. In order to curb inflation expectations, the spread between short term and long term rates of government securities has been reduced through adjustments in yields on short term bills and long term government bonds. In the foreign exchange market, BB undertook measures to arrest undue volatility in the exchange rate to reduce the impact of world inflation on the domestic price level; keeping due attention to impact on exports and inflow of remittances.





5. Monetary Policy Stance for H1 FY09

34. The performance of the economy, especially during H2 FY08, shows that BB's policy response in the last fiscal was appropriate and the monetary policy stance was in line with emerging trends and developments in the economy. The growth supportive and prudent monetary policy played an important catalytic role in bringing the economy back to its growth momentum. The relatively high growth of private sector credit and import pointed to some impetus to aggregate demand, but it was necessary in the face of domestic supply shortages and subdued performance of the economy during H1 FY08. Although there was a visible uptrend in inflation in the initial months, the inflation rate started to slow down since the last quarter of the previous fiscal. This shows improvement in the inflation outlook with domestic food inflation showing some respite.

35. Bangladesh has started FY09 under mixed developments on both domestic and external fronts. The domestic economy, though has enough potential, operates below its capacity which needs to be realized through credible measures on all fronts in order to achieve short term stability and brighten long term growth prospects. Moreover, further softening of the inflationary pressure requires higher growth and increased production of essential food and other items in the face of tight and unstable world market for these commodities. The unfolding events in the global economy is creating renewed pressures and the global outlook is changing fast in the backdrop of growing liquidity crunch and rising oil and other commodity prices. Under the current global developments, most countries are projected to slowdown in the near term along with experiencing high inflation rates.

36. The emerging challenges facing the domestic economy in an increasingly uncertain global economic environment require BB’s monetary policy stance to play a key role in striking a balance between growth and price stability. For Bangladesh, this is critical in countering any

threat to macroeconomic stability and poverty reduction goals. While monetary tightening can bring down inflation, it has unacceptably high cost in terms of foregone output and employment which Bangladesh can ill afford at present in view of its growth and poverty reduction imperatives. This, however, does not negate the importance of avoiding excessive monetary laxity which would harm macroeconomic stability and hence growth and poverty reduction efforts.

37. Keeping in view the domestic developments and the global outlook, the monetary policy stance to be pursued by BB during H1 FY09 would aim at ensuring reasonable price stability and providing support to sustainable and high output growth. The policy stance has been designed keeping in view a real GDP growth rate of 6.5 percent and an average inflation rate of around 9.0 percent in FY09. The annual monetary program would be set accordingly providing a predictable relationship between various policy instruments (e.g., repo and reverse repo rates, bank rate, CRR, and SLR) and the monetary policy goals adopted for H1 FY09. Besides, the priority under the policy stance would be to pursue prudent policies that are supportive of supply-side and growth promoting measures. As policy tools, BB would continue the use of market rates such as repo and reverse repo rates to influence money and credit supply in the economy supplemented by efforts to develop the secondary bond market.

38. In order to sustain and strengthen the positive gains of the monetary policy of FY08 and create greater scope for supporting growth promoting policies within the monetary policy framework, the policy stance would give added priority to unhindered flow of private sector credit to the economy's productive sectors, with agriculture, SMEs, and the rural economy being the prime targets. BB would also undertake effective measures to encourage increased flow of credit to women entrepreneurs.

39. The policy stance aims to keep demand side pressure under control keeping in view the emerging developments and requirements of the economy so as to dampen inflation expectations and ensure required price stability. In order to avoid the build up of excessive demand pressure, special attention would be given to channeling credit to its intended productive and supply augmenting uses; alongside discouraging credit flows to non essential unproductive and speculative uses. To this end, measures such as imposition of higher capital charge in the form of higher general provision requirement on such loans may be considered. The existing refinance support for agriculture, SMEs, and housing loans would be continued; and new refinancing lines would be considered for socially desirable and emerging activities such as shipbuilding, renewable energy, effluent treatment in manufacturing establishments, and similar other areas. The growth in private sector credit would be watched carefully especially in view of the falling real interest rates due to recent increase in inflation. If the situation warrants, necessary policy adjustments would be introduced after careful consideration of the causative factors underlying credit growth and its likely consequences.

40. In the foreign exchange market, prudent measures would be taken to ensure desired exchange rate stability and facilitate the import of essential commodities to ease any shortage in the domestic market. The aim would also be to arrest undue volatility in the exchange rate in order to keep the pressure of imported inflation under control. In particular, efforts would be made to further enhance the inflow of remittances especially through tapping the increased demand for foreign workers in oil-rich countries resulting from high oil prices. In addition, measures would be taken to divert increasing amount of remittances toward investment in productive sectors to

ease the potential demand pressure and expand the economy's productive capacity. For ensuring more efficient import of essential goods, BB has made available forward hedging mechanism to importers. In this context, BB would ensure that the facility is used only for true hedging. Moreover, BB would routinely conduct 'surprise inspections' on banks and exchange companies relating to their compliance of foreign exchange regulations as well as the anti money laundering act.

41. In view of the short episode of temporary shortfall in liquidity in the banking system on several occasions during FY08 resulting mainly from high imports, BB would closely monitor the liquidity situation in the banking system and would take necessary measures to increase liquidity to overcome such pressure. The existing prudential oversight would be further strengthened to monitor bank liquidity. BB also intends to fully implement the Basel II framework of supervision and disclosure principle toward risk management and capital planning. BB has started diagnostic review of the financial health of the banks with a view to improving their operational efficiency and financial viability. BB would continue its efforts to urge the banks to reduce their lending rates, increase competition among the financial intermediaries, and pursue strong monitoring and supervision measures so that the financial institutions reduce administrative cost by improving efficiency and reducing the burden of non performing loans.

42. The success of the policy stance requires greater fiscal and monetary coordination to ensure clear recognition of the importance of the monetary policy stance and appropriate alignment of relevant policy parameters within the overall macroeconomic framework. Maintaining fiscal discipline by the government and minimizing the dependence on financing fiscal deficit from the banking system, especially from BB, generates less inflationary pressure. It is therefore, important to take appropriate measures to increase the revenue earnings of the government and find alternate sources of financing such as developing an active secondary market for government securities that would contribute toward improving the quality of BB's monetary management. Bringing appropriate changes in the government's debt management strategy would be important to improve the balance between short (e.g. T bills) and long term borrowing (e.g. through issuing bonds) since any shift in the borrowing pattern has implications for the conduct of the monetary policy.

Risks and Challenges

43. The implementation of the monetary policy stance faces several downside risks which might make monetary management challenging in FY09. It would thus be critical to monitor these challenges and implement timely policy response.

44. Although a part of the slowdown in domestic production, especially in the agriculture sector, during FY08 stemmed from transient supply shocks due to floods and cyclone and indications are there that agricultural production is likely to recover strongly in FY09 due to favorable price incentives for the farmers, but the possibility of floods and other natural disasters can not be fully ruled out. Similarly, other unexpected events including socio-political instability could substantially change the outlook affecting the smooth implementation of the policy stance. Thus it would be important to take precautions against any unexpected natural calamities along with ensuring timely supply of inputs to the farmers and take measures to minimize domestic vulnerabilities and risks.

45. The productivity growth of the economy is crucial which has been suffering from continuing power shortages, other infrastructure bottlenecks, and socio-political events. It would be

important to strengthen the infrastructure and other support services and ensure congenial business climate especially prior to the general election in December 2008. Failure to ensure this would widen the gap between rising aggregate demand and domestic production creating new challenge for monetary policy to restraining aggregate demand with consequent adverse impact on production and growth.

46. The global outlook, especially the growth prospect in the USA and the country's other major trade partners, has weakened which could create adverse impact on export growth especially on export of RMGs. The subprime crisis in the US is still raveling, and a significant slowdown in the US and further turmoil in financial markets cannot be ruled out. The main impact of such developments will come through a downturn in the demand for Bangladesh's exports. The US is also slashing interest rates aggressively in response to slowing growth fueling further depreciation in USD. Although a depreciating USD provides some shelter to the country's economy from high oil and food prices, Bangladesh needs to remain alert regarding its competitiveness of exports especially in price-sensitive RMGs. It would also be important to ensure enough flexibility to absorb the shocks and adapt to any disruption emanating from external economic shocks. For meeting such challenges, the policies need to build solid macroeconomic fundamentals supported by prudent monetary, fiscal, and exchange rate policies.

47. The current high prices of oil and other commodities in the world market are likely to persist in the foreseeable future. In such a situation, efforts by the government to absorb the pass through of rising global prices to domestic consumers would more likely to become unsustainable largely due to its limited fiscal space. The Bangladesh economy has not as yet experienced the full impact of past increase in global prices and further increase in global prices would have adverse impact on domestic inflation with the possibility of setting in a wage-price spiral further exacerbating the present inflation situation. Moreover, the current situation does not incorporate the economic impact of fuel and fertilizer price adjustments in July 2008 and the lagged impact of past monetary and fiscal developments.

48. Although the monetary policy stance recognizes that under the present circumstances the most effective means of fighting inflation is through increasing domestic production, the unfolding events on both domestic and external fronts require that BB keeps a close watch on demand side pressure and periodically review the BB policy rates to introduce corrective measures speedily if necessary, for anchoring inflation expectations and before any major destabilizing effect on macroeconomic stability takes place. Moreover, reducing the government's dependence on bank borrowing to finance fiscal deficits remains an unsettled issue for which many countries have enacted fiscal responsibility laws to restrict government borrowing from the central banks and limit the government's option of having large debts. Along with promoting government savings instruments especially targeted toward non resident Bangladeshis, adopting fiscal responsibility and debt limitation law by the government to restrict the extent of debt monetization would contribute toward enhancing the effectiveness of the monetary policy instruments. In addition, further strengthening of debt market infrastructure for promoting a vibrant secondary bond market and adoption of international prudential norms for banks and financial institutions are necessary to bring consistency and accountability and ensure financial inclusion of all.